

MIG Quarterly Claims Report — Commercial
Property, Catalonia
Q4 2025 | Internal Use Only

Claims Department, Mediterranean Insurance Group

15/01/2026

Quarterly Claims Report: Commercial Property
— Catalonia

Period: 01/10/2025 – 31/12/2025 **Business Line:** Commercial Property **Region:** Catalonia **Prepared by:** Claims Department, Barcelona Office **Distribution:** Underwriting Committee, Regional Management

1. Executive Summary

The Commercial Property portfolio in Catalonia recorded 47 claims in Q4 2025, with total incurred costs of EUR 3.247.680. This represents a 14% increase in claim count and a 22% increase in incurred amount compared to Q3 2025 (41 claims, EUR 2.662.000).

The quarter was marked by a single large loss (warehouse fire in Tarragona, EUR 890.000) and an unusual concentration of water damage claims linked to heavy rainfall in November. Excluding the Tarragona loss, the portfolio’s attritional performance was broadly in line with expectations.

2. Portfolio Overview

Metric	Q4 2025	Q3 2025	Change
Active policies	1.284	1.261	+1,8%
Claims reported	47	41	+14,6%
Claims frequency	3,66%	3,25%	+0,41pp
Total incurred (EUR)	3.247.680	2.662.000	+22,0%

Metric	Q4 2025	Q3 2025	Change
Average claim size (EUR)	69.099	64.927	+6,4%
Largest single claim (EUR)	890.000	312.000	—
Open claims (end of period)	18	14	+28,6%
Claims closed in period	29	33	-12,1%

3. Claims by Cause

Cause of Loss	Count	Total Incurred (EUR)	Avg. Claim (EUR)	% of Total Incurred
Fire	5	1.234.000	246.800	38,0%
Water damage / flooding	12	541.200	45.100	16,7%
Storm / wind	8	389.600	48.700	12,0%
Theft / burglary	9	378.450	42.050	11,7%
Electrical damage	6	312.430	52.072	9,6%
Liability (third-party)	4	247.000	61.750	7,6%
Other	3	145.000	48.333	4,5%
Total	47	3.247.680	69.099	100%

4. Top 5 Claims by Value

#	Claim ID	Insured	Cause	Location	Incurred (EUR)	Status
1	CP-2025-4471	Logística del Mediterráneo S.L.	Fire — ware-house	Tarragona	890.000	Open — SIU referral
2	CP-2025-4523	Hotel Rambla Palace	Fire — kitchen	Barcelona	214.000	Under review

#	Claim ID	Insured	Cause	Location	Incurred (EUR)	Status
3	CP-2025-4387	Farmacèutica Vallès S.A.	Electrical — lab equipment	Sabadell	178.500	Settled
4	CP-2025-4502	Centre Comercial Diagonal	Flooding — basement retail	Barcelona	156.200	Open
5	CP-2025-4419	Bodega Torres Penedès	Storm — roof collapse	Vilafranca del Penedès	134.800	Settled

Notes on Claim CP-2025-4471 (Tarragona warehouse fire)

- Fire reported 18/11/2025, cause under investigation (possible electrical fault in loading dock area)
- Building: 4.200 m² warehouse, constructed 1998, last surveyed 2022
- Insured sum: EUR 2.400.000 — current reserve set at EUR 890.000 pending loss adjuster final report
- Referred to Special Investigations Unit (SIU) on 02/12/2025 due to delayed notification (fire occurred 15/11, reported 18/11) and recent premium increase request
- Loss adjuster report expected by 31/01/2026

5. Water Damage Trend

Water damage claims showed a notable increase this quarter:

Quarter	Water Damage Claims	Avg. Claim (EUR)	Total Incurred (EUR)
Q1 2025	4	28.500	114.000
Q2 2025	6	31.200	187.200
Q3 2025	7	34.800	243.600
Q4 2025	12	45.100	541.200

The Q4 spike correlates with the exceptional rainfall recorded across Catalonia in November 2025 (AEMET reported 187% of normal precipitation for the

Barcelona metropolitan area). Eight of the twelve claims were reported between 12/11 and 28/11.

Recommendation: Review flood exposure limits for ground-floor and basement commercial units in Barcelona and Tarragona provinces. Consider requiring flood mitigation documentation at renewal for policies with prior water damage claims.

6. Reserve Development

Reserve Category	Opening Reserve (01/10)	New Reserves	Payments	Adjustment	Closing Reserve (31/12)
Case reserves	1.124.000	2.890.000	- 1.456.320	-186.000	2.371.680
IBNR	420.000	—	—	+55.000	475.000
Total	1.544.000	2.890.000	- 1.456.320	- 31.000	2.846.680

Prior-year reserve releases of EUR 186.000 were driven by favorable settlement of three 2024 claims originally reserved at higher amounts.

7. Key Observations and Recommendations

1. **Large loss volatility:** The Tarragona warehouse fire (EUR 890.000) represents 27% of Q4 incurred. The portfolio's facultative reinsurance attachment point of EUR 500.000 was breached — recovery is being processed.
2. **Water damage concentration:** The 71% quarter-on-quarter increase in water damage claims warrants a portfolio review. Climate-adjusted pricing should be considered for the April 2026 renewal cycle.
3. **Claim frequency rising:** At 3,66%, Q4 frequency is above the 3,20% annual target. If sustained, this will impact the combined ratio for the Catalonia commercial book.
4. **SIU referral (CP-2025-4471):** The delayed notification and recent coverage change on the Tarragona warehouse require close monitoring. SIU update due mid-February.
5. **Open claims aging:** 18 claims remain open at quarter-end. Five of these are over 60 days old — recommend accelerated review.

Report prepared by: Marta Soler, Head of Claims — Catalonia Region **Reviewed by:** Jordi Puig, Chief Claims Officer **Date:** 15/01/2026 **Next quarterly review:** 15/04/2026